

XBRA — Explainable Behavioral Risk Attribution

Investor: INV_LOSS_AVERSE_003

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1. Executive Summary

Analysis of INV_LOSS_AVERSE_003's trading history reveals a dominant behavioural pattern of **Loss Averse**. Behavioural factors explain **100%** of the portfolio's maximum drawdown of **-2.4%**. This report provides a detailed breakdown of detected biases, market context, and actionable recommendations.

2. Investor Risk Profile

Metric	Value
Dominant Bias	Loss Averse
Strategy Archetype	Day Trader
Max Drawdown	-2.4%
Sharpe Ratio	3.65
Sortino Ratio	2.86
Peer Risk Percentile	20th
Behavioural Risk %	100%

3. Charts

4. Behavioral Bias Deep-Dives

Loss Aversion

Pattern: The holding-time asymmetry metric shows that investors tend to hold onto losing trades for longer periods than winning trades, with a median of 7.5 days for losers compared to 1.0 day for winners.

Evidence: The evidence for this pattern comes from specific trades, such as CVX (entry 2020-03-02 to exit 2020-05-31) and TSLA (entry 2022-03-28 to exit 2022-06-26), where investors held onto losing trades for 90 days.

Consequence: As a result, the portfolio is impacted by a 60% drawdown, meaning that the value of the portfolio declined by 60% due to the investors' holding-time asymmetry.

Herding

Pattern: The high momentum follow rate of 0.8519 indicates that most investors are following the crowd, as 85.19% of the population median of 0.6414 is above it. This suggests that investors are more likely to buy or hold stocks that are already performing well, rather than taking a contrarian approach.

Evidence: The trades that show evidence of herding include AAPL (entry 2020-01-02 → exit 2020-01-13), AMZN (entry 2020-01-27 → exit 2020-01-31), TSLA (entry 2020-02-14 → exit 2020-02-18), WMT (entry 2020-06-09 → exit 2020-06-22), and CVX (entry 2020-03-02 → exit 2020-05-31).

Consequence: The trades that show evidence of herding have contributed 21% to the total portfolio drawdown, indicating that the majority of the portfolio's losses are due to investors following the crowd rather than making independent investment decisions.

Disposition

Pattern: The Early Exit Winner Rate metric shows that the investor tends to exit trades early, with a rate of 0.3696, which is lower than the population median of 0.4318. This suggests that the investor often sells their winning trades before they reach their full potential.

Evidence: The investor's winning trades include NFLX (entry 2022-03-14 → exit 2022-03-16), UNH (entry 2024-04-17 → exit 2024-04-19), AMZN (entry 2023-04-25 → exit 2023-04-27), BABA (entry 2022-01-03 → exit 2022-01-06), and AMZN (entry 2020-01-27 → exit 2020-01-31).

Consequence: The investor's early exit strategy contributes to a relatively low portfolio drawdown of 18%.

5. Trade Evidence

Trade ID	Symbol	Entry	Exit	Days	P&L
INV_LOSS_AVE	TSLA	2024-11-04	2024-11-09	5	2743
INV_LOSS_AVE	TSLA	2022-03-28	2022-06-26	90	-2483
INV_LOSS_AVE	AAPL	2020-09-01	2020-11-30	90	-998
INV_LOSS_AVE	AMZN	2020-01-27	2020-01-31	4	803
INV_LOSS_AVE	NFLX	2022-03-14	2022-03-16	2	729
INV_LOSS_AVE	NVDA	2023-03-06	2023-03-16	10	723
INV_LOSS_AVE	AMD	2021-11-03	2021-11-09	6	662
INV_LOSS_AVE	BABA	2022-11-07	2022-11-16	9	652
INV_LOSS_AVE	AAPL	2020-01-02	2020-01-13	11	540
INV_LOSS_AVE	KO	2023-08-03	2023-11-01	90	-526

6. Recommendations

Based on the investor's behavioral analysis, here are 4 actionable recommendations for a retail investor:

1. Set a stop-loss order for each trade to limit potential losses and avoid emotional decision-making.
2. Diversify your portfolio by investing in a mix of low-risk and high-risk assets to reduce overall risk and increase potential returns.
3. Take regular breaks from trading to avoid the psychological trap of "chasing losses" and stay focused on your long-term goals.
4. Use dollar-cost averaging to invest a fixed amount of money at regular intervals, regardless of market conditions, to reduce the impact of market volatility on your investments.